STATE BANK OF INDIA - MSME COMMERCIAL CREDIT POLICY

Manual ID: SBI/SME/CREDIT/2026-V1 | **Issuer:** Small & Medium Enterprises Business Unit

1. SBI SME Smart Score & Simplified Small Business Loan

State Bank of India offers customized credit facilities for Micro, Small and Medium Enterprises for acquiring plant & machinery, constructing factory sheds, and maintaining working capital reserves.

Sanction Limits: ■10 Lakhs to ■500 Lakhs (■5 Crore) under SME Smart Score and CGTMSE schemes.
Interest Rate Structure: Linked to SBI External Benchmark Lending Rate (EBLR) + Spread (9.15% to 13.80% p.a.).
Repayment Tenure: Term Loans up to 7 years (84 months) with moratorium up to 6 months. Cash Credit lines reviewed annually.
Collateral Norms: Collateral-free up to ■500 Lakhs under CGTMSE credit guarantee coverage.

2. Pradhan Mantri MUDRA Yojana (PMMY) at SBI

SBI actively finances micro-enterprises under three MUDRA tiers:
• **Shishu:** Loans up to ■50,000 at 8.65% to 9.75% p.a. (Zero processing fee, Nil margin).
• **Kishore:** Loans from ■50,001 to ■5,00,000 at 9.15% to 11.25% p.a. (Margin: 10% to 15%).
• **Tarun:** Loans from ■5,00,001 to ■10,00,000 at 9.65% to 12.00% p.a. (Margin: 15%).

3. Borrower Qualification Benchmarks

• Minimum 2 years of successful business operations with positive net worth.
• Minimum annual business turnover of ■25,00,000 (■25 Lakhs) for SME Credit lines.
• CIBIL score of 675 and above for promoters/guarantors with no past default history.
• Udyam Registration and GSTIN compliance mandatory.

4. Statutory Prohibitions & Exclusions

SBI commercial MSME credit cannot be sanctioned for:
• Speculative trading in virtual digital assets, cryptocurrencies, or betting platforms.
• Real estate speculation and unapproved personal consumer borrowing.